DEFINITIONS:

HISTORICAL COST RULE:
Assets are always reflected at their original cost price.

RULE OF PRUDENCE:
Where the value of an asset is considered to be lower than its original cost price, then the value used in the financial statements will be the lower value.

MATERIALITY:
Financial statements should be as simple as possible, but items which are important (i.e. material) to the reader of the statements should be highlighted and disclosed separately.

ASSETS:
Assets consist of the possessions of a business and all amounts owing to a business.

Fixed/Tangible Assets	Financial Assets	Current Assets
Land and Buildings	Fixed deposits/Investments	Trading Stock
Vehicles	Shares	Debtors/Accounts receivable
Machinery	Unit trusts	Bank
Equipment		Cash float
Computers		Petty cash
		Savings account
		Accrued income
		Prepaid expenses
		Consumable stores on hand

Asset accounts increase on the debit side and decrease on the credit side.

EXPENSES:
Expenses are items, which have no lasting value. They have a negative effect on a person's net worth. They are evidenced either by a decrease in Assets or an increase in Liabilities.

INCOME:
These are items, which have a positive effect on a person's net worth. They are evidenced either by an increase in Assets or a decrease in Liabilities.

DOUBLE-ENTRY PRINCIPLE:
Every financial transaction has a double-sided effect. For every Debit there must be an equal and corresponding Credit entry.

ACCOUNTING EQUATION:
Assets = Owner's Equity + Liabilities

BUSINESS ENTITY RULE:
The financial affairs of a business are kept entirely separate from that of the owner. The business has an identity separate from the of the owner.

BALANCE SHEET:
A Balance Sheet is a statement, which reflects the financial position of a business (assets, liabilities and equity), on a certain date.

INCOME STATEMENT:
An Income Statement is a statement which reflects the results of the activities or operations of a business for a certain period of time.

CAPITAL:
This is the cash or other assets provided by an owner in order to establish a business.

DRAWINGS:
These are amounts withdrawn by the owner of a business, which lead to a reduction in Owner's Equity.

SERVICE BUSINESS:
A Service Business (Service Undertaking) is a business that supplies a service to its customers.

RETAIL BUSINESS:
A Retail Business (Trading Undertaking) is a business that buys goods from its suppliers and sells goods to its customers.

MARK-UP:
The difference between the selling price and the cost price of an article sold. A business will usually use a mark-up percentage.

GROSS PROFIT:
The total mark-up on all goods sold in a business throughout a certain period.

NET PROFIT:
The final profit earned by a business after deducting all expenses for a certain period.

MATCHING PRINCIPLE:
In order to calculate profit, income is matched against the relevant expenses incurred in producing that income.

FINANCIAL YEAR / ACCOUNTING PERIOD:
The period of time chosen by a business for the calculation of its net profit, usually one year. (The business can determine the start and the end of the financial year).

OPERATING ACTIVITIES:
Activities in operating the business e.g. buying and selling goods, paying wages.

FINANCING ACTIVITIES:
Activities in raising funds for the business either from the owner, or from lenders e.g. owner provides capital, borrow funds from a lender, repay loan, pay or owe interest.

INVESTING ACTIVITIES:
Activities in investing the funds of a business with the intention of earning a profit e.g. invest in a fixed deposit, transfer funds from saving account, earning interest. Note that the definition of investing in this case also includes investing in a broad sense e.g. investing in land and buildings and other fixed assets. By using these fixed assets, the business will enable itself to operate and thereby earn a profit.